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1-B:

Competitive firms where 1000s of producers are competing with each other. Such firms are bound to be efficient to survive in a competitive environment.

Why not other options?

A- macro concept

C- economic problem can never be eliminated

D- due to lack of information, the merits goods will likely be underproduced and underconsumed by the producers and consumers.

2-B:

A multinational corporation (MNC) is usually a large corporation incorporated in one country that produces or sells goods or services in various countries.

Higher demand for palm oil would likely to make this investment possible as more output produced by MNCs

Why not other options?

A- if there is high cost then MNCs wouldn't invest in low income countries

C- if there is a shortage of labour, then the higher cost have to borne by the MNCs and this factor would constrain to invest

D- removal of subsidies would also increase the cost for MNCs to invest

3-B:

Opportunity cost is the value of the next best alternative that is forgone when a choice is made. It represents what you give up when you select one option over another.

Opportunity cost would be loss of revenue from crops as now land is used for wind turbines

4-D:

The formal microeconomics definition is the branch of economics that studies the behavior of individuals and businesses and how decisions are made based on the allocation of limited resources.

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

High inflation rate is a macroeconomic measure

5-A:

6-D:

Subsidy is a grant or cash payment to encourage the consumption of certain goods and services.

Subsidy would likely to solve the problem of underconsumption of merit goods. As subsidies would likely to increase the supply while resulting in lowers prices and thus increasing the quantity supplied.

Why not other options?

A- public goods is solely provided by the government so it doesn't require the provision of subsidies

B- monopoly is a large firm who restricts the supply of their goods and service in a market. Also the government doesn't support the monopoly power through subsidies

C- subsidy to the demerit goods will worsen the situation

7-C:

More IT students graduated, this likely to increase the supply of labour in market. As a result the equilibrium move from point X or S to S2, causing rightward shift.

In addition the demand for IT staff also increases and this shift the demand curves rightward, causing point X to reach to the point C.

8-D:

The price elasticity of supply (PES or Es) is commonly known as "a measure used in economics to show the responsiveness, or elasticity, of the quantity supplied of a good or service to a change in its price

New-Old/Old — % change in QD

$$500-400/400= 0.25$$

New-Old/Old — % change in price

$$6-5/5 =0.2$$

$$PES= 0.25/0.2=1.25$$

9-B:

In a high income country, an increase in wealth would likely to encourage both savings and spendings at a same time

Why not o other options?

A- a higher interest rate would encourage savings but discourage spending

C- saving will encourage

D- savings will encourage

10-B:

Specialization often involves repetitive tasks, which can lead to decreased job satisfaction and increased absenteeism due to boredom and lack of engagement. Therefore specialisation also become a disadvantage for workers

Why not other options?

A- nothing to do with a worker

C- it's an advantage but nothing to do with a worker

D- advantage of a specialisation

11-B:

The government imposed the minimum wage that will cause movement from point X to C. While the government also restricts the immigrant supply, as a result the supply of labour reduces. This will cause the supply curve to shift inwards from S1 to S2 and reach point at B.

12-A:

As output increases, average fixed cost falls. This is because fixed costs are spread out over a larger number of units produced. If a company has fixed costs of \$10,000 and produces 100 units, the AFC is \$100 per unit. If they produce 1,000 units, the AFC falls to \$10 per unit.

Why not other options?

B- the ATC falls and rise

C- AVC falls and then rise

D- the TVC rises

13-C:

The goal of backward vertical integration is to gain greater control over the production process and reduce costs by cutting out intermediaries. For example, a clothing manufacturer might vertically integrate backward by acquiring a textile manufacturer that supplies the fabric used in their clothing.

Therefore, Swedish furniture is merging with Romanian hectares of trees and this regard as a vertical backward integration

Why not other options?

A-Companies in unrelated industries merge

B-Two or more companies in the same industry and offering similar products or services combine known as horizontal merger

D- Forward vertical integration involves acquiring a business further up (forward) in the supply chain – e.g. a vehicle manufacturer buys a car retail business. Another example might be Amazon or Netflix deciding to buy a chain of movie theatres (cinemas).

14-D:

Total revenue (also referred to as gross revenue) is the total amount of money a company generates from its business activities before deducting expenses. It factors in all sources of income. The formula is $\text{Total Revenue} = \text{Price} \times \text{Quantity}$

Why not other options?

A- $AR = TR/Q$

B- Profit = $TR - TC$

C- $TC = TFC + TVC$

15-B:

The private sector railway firm is a sole supplier in a market that indicates that it is operating as a monopoly. To reduce the higher prices, the intense competition from public transport would resolve this as consumers now have other options to travel and therefore encourage the monopoly to lower its prices.

Why not other options?

A- High barriers to entry will likely to encourage monopoly to continue to act as a monopoly and charge high prices

C- government policy to encourage monopoly power will worsen the situation in the market

D- high cost, then high price would charge

16-A:

Fiscal policy refers to the government's use of spending and taxation to influence the economy. It's a key tool for managing macroeconomic conditions like growth, inflation, and employment. Governments adjust spending and tax rates to stimulate or cool down the economy, aiming for stability and sustainable growth.

Why not other options?

Exchange rates and interest rates are the monetary policy tools

Regulation is the supply side policy tool

17-B:

While using the expansionary monetary policy, the government would aim to increase the money supply while reducing **the rate of interest**. This will result in low savings and high investment and thus increasing the AD in an economy.

Why not other options?

A- reducing the bank lending would reduce the money supply and thus increase the rate of interest

C- reduction in budget deficits would reduce the government spending in an economy and this is a part of fiscal policy tool

D- the decrease in money supply would likely to increase the interest rate and this may will be known as contractionary monetary policy

18-C:

Income tax: a lower rate of tax rates would result in higher disposable income. A higher disposable income would increase the consumption and spending in an economy. As a result, the AD rises and unemployment falls and therefore achieves an aim for high employment.

Benefits for the poor: benefits to the poor should increase such as transfer payments to reduce the income inequality

19-C:

$\text{New-Old/Old} \times 100$

In year 2– $101.1 - 100 = 1.1$

$1.1/100 = 0.011 \times 100 = 1.1\%$

Year 3: 0.69% , year 4: 0.29%

Therefore, the inflation rate was highest in year 2

Why not other options?

A-No

B- 0.29%

D- it is a base year

20-A:

Deflation is a decrease in the general price level of goods and services.

During deflation, there is a high level of uncertainty and unemployment in an economy and this will result in consumer to delay their consumption and spending due to pessimistic economic conditions

Why not other options?

B- High interest rates will result in more deflation

C- during deflation, the consumption falls so it also reduce the consumption of imported goods

D- the real value of money rises as consumers can afford more goods with the same amount of money

21-D:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

22-B:

From the given table we can see that, in the primary sector the distribution of employment fell as the agricultural employment dropped by 1%

While in the secondary sector, the distribution of employment remained unchanged as the manufacturing and retailing employment remained the same in both years.

23-D:

Real income is calculated by adjusting nominal income (your actual earnings) for the effects of inflation.

Real income = Nominal income% - inflation rate%

Company directors

$115\% - 103.4\% = 0.116$, the real income continues to rise as nominal income is greater than the inflation rate

Office workers

$105\% - 103.4\% = 0.016$, the real income continues to rise as nominal income is greater than the inflation rate

24-D:

In country Y, in year 1 the birth rate is greater than the death rate that indicates that the population is increasing at this time

While in year 2, the death rate is greater than birth rate and this indicates that the population is declining in year 2.

Hint: divide the diagram into two parts for year 1 and year 2 for better identification

Why not other options?

In country X, the population is rising in both years as birth rate was higher than the death rate

While in country Z, the population was falling first as the death rate is greater than the birth rate in year 1. But in year 2, population starts rising as death rate falls

25-C:

Absolute poverty is a state of being in which a person lacks the necessities of life, such as food, clothing, and shelter. In contrast, relative poverty is a condition in which a person's income is insufficient to meet his or her needs when compared to others in society.

Relative poverty is the condition in which people lack the minimum amount of income needed in order to maintain the average standard of living in the society in which they live.

The relative poverty likely to rise as 60% of the population has increased their income means that the other percentage of the population wouldn't be able to increase their income. As a result, the richer become more rich

While there is constant absolute poverty as the rest of the population income remained unchanged

26-D:

After adjusting for inflation and population, it will become the real GDP per head. Real GDP per capita is a crucial economic indicator that reflects the average value of goods and services produced per person in a country, adjusted for inflation. It essentially provides a measure of the standard of living and is calculated by dividing real GDP by the total population.

Why not other options?

Exports come under the GDP as a part of the economy's income.

27-A:

tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries

Removal of tariff would allow domestic consumers to make purchases of imported goods also without high prices. This will result in more choices for domestic consumers and thus increase their standard of living.

Why not other options?

B- unemployment would likely to increase in domestic markets as imports are more competitive and therefore reduce the demand of domestic goods and services

C- export revenue would be uncertain

D- the tax revenue from tariff would fall as tariffs are removed

28-D:

Globalization can reduce protectionism by fostering trade liberalization and increasing economic interdependence. As countries become more interconnected through trade, they tend to reduce barriers like tariffs and quotas, leading to a more open global market.

Why not other options?

Other options mentioned, the globalisation would encourage it

29-B:

A BOP Surplus is realized when the total receipts for all foreign transactions made by a country-exports, foreign investments, and capital inflows-exceed its total payments-imports, investments abroad, and capital outflows.

A balance of payments surplus would likely increase the demand of currency, this will cause the exchange rate to appreciate. As a result, the export prices will rise.

30-D:

Current account is defined as the sum of the balance of trade (goods and services exports minus imports), net income from abroad, and net current transfers.

Increasing the spending on the military bases will make the payments outside the country, therefore increasing the current account deficit

Why not other options?

A- increasing the exports service will reduce the deficit

B- goods are cheaper now, more exports can be made and thus deficit will reduce

C- more visits by foreigner will allow county receive payments and therefore the deficit will reduce